

Liquidity Metrics Desktop Procedure

Step-by-step instructions, maker-checker controls, and a full worked example, for every liquidity metric the Policy and Procedure require

Firm	Anchorpoint Fund Managers (UK) Limited — £210bn UK-authorised range, 62 funds, part of Anchorpoint Global Asset Management (USD 1.2tn)
Document owner	Head of Liquidity Risk
Audience	Liquidity Risk Analysts (maker); Head of Liquidity Risk (checker); Fund Accounting, Portfolio Management and Compliance for reference
Version	5.0 — PS26/17 implementation (supersedes v4.2)
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Parent documents	Fund Liquidity Risk Policy · Procedure (Section 5, timetable and maker-checker control) · Anti-Dilution Tool Calibration Methodology
Worked example fund	Anchorpoint Multi-Asset Income Fund — UK UCITS, NAV £500m, 15 positions
Classification	Internal — Liquidity Risk team; Internal Audit on request

Segregation of duties

0.1 Every SOP in this document is performed by a named **maker** and independently reviewed by a named **checker** before its output is relied upon; this reflects the Procedure, Section 1.2 and Section 5. SOP 1 carries a third, independent check by Fund Accounting because its output directly affects the price released to investors; no other SOP in this document affects a released price and none carries that third check. The maker and checker for each SOP must not be the same individual, and neither may report to the other in a line that would compromise independent review; where the Liquidity Risk team has only one qualified analyst on a given day, the Head of Liquidity Risk performs the checker role and a second, more senior reviewer (the CRO or their delegate) performs a retrospective same-day review.

0.2 Eight standard operating procedures follow. Each states its control objective, the maker and checker, the systems used, the numbered steps, and a worked example on the Firm's Multi-Asset Income Fund — the same fund used throughout the Methodology paper, so the two documents read together. Field references are to Bloomberg's Liquidity Assessment (LQA) function; confirm exact identifiers and units on the terminal before first use, per the Methodology paper, Section 11.

THE FUND, FOR REFERENCE THROUGHOUT

Position	Type	Value	% NAV	One-day capacity	Days to liquidate	Half-spread	Impact coeff. (A)
Cash and near cash	Cash	£45m	9.0%	—	same day	0.5	—
Global mega-cap A	Equity	£42m	8.4%	£40m	1.1	2.0	6
Global mega-cap B	Equity	£38m	7.6%	£28m	1.4	2.5	7
UK large cap	Equity	£35m	7.0%	£9m	3.9	4.0	10
UK mid cap	Equity	£22m	4.4%	£1.4m	15.7	12.0	22
European small cap	Equity	£15m	3.0%	£0.6m	25.0	25.0	40
UK AIM holding	Equity	£8m	1.6%	£0.16m	50.0	60.0	80
UK gilt 2031	Bond	£65m	13.0%	£50m	1.3	2.0	2
US Treasury 2030	Bond	£35m	7.0%	£40m	0.9	1.5	1.5
IG corporate — benchmark	Bond	£45m	9.0%	£8m	5.6	18.0	14
IG corporate — small issue	Bond	£30m	6.0%	£3m	10.0	28.0	22
High yield corporate	Bond	£30m	6.0%	£1.5m	20.0	60.0	55
EM sovereign	Bond	£20m	4.0%	£2m	10.0	45.0	40
Developed equity ETF	ETF	£45m	9.0%	£30m	1.5	3.0	4
High yield bond ETF	ETF	£25m	5.0%	£5m	5.0	20.0	25

Overlay: £450m notional interest rate swaps (DVO1 £405k/bp), £80m FX forwards, £120m gilt repo financing — used in SOP 7.

SOP 1 — Daily anti-dilution calculation (swing factor)

Control objective: ensure the rate applied to investor-facing prices is correctly calculated, independently reviewed, and independently verified before NAV release. **Maker:** Liquidity Risk Analyst. **Checker:** Head of Liquidity Risk. **Third check (pre-release):** Fund Accounting. **Timetable:** Procedure, Section 5.

Systems: Order management system (flows) · Bloomberg LQA (implicit cost) · Firm rate card (explicit cost) · Pricing/NAV system (schedule publication).

Step 1 (Maker, 09:00–10:30). At the valuation point, pull gross subscriptions and gross redemptions per fund from the order management system. Calculate net flow in fund currency and as a percentage of the prior valuation point's NAV.

Step 2 (Maker). Apply the netting test: net the flow only to the extent that offsetting subscriptions and redemptions genuinely remove the need to trade the portfolio (Methodology §4.1). Where share classes, currency hedges or settlement terms differ, use the required portfolio transaction, not the unit-level net.

Step 3 (Maker). For every position, pull `LQA_LIQUIDATION_COST` with `LQA_TGT_LIQUIDATION_VOLUME` set to (position × net flow %), horizon 1 day, confidence 50 (normal) or 90 (stressed shadow run), participation cap 20% (normal) or 10% (stressed).

Step 4 (Maker). Add explicit costs from the rate card (commission; stamp duty reserve tax and equivalents on the buy side only; professional fees for direct property).

Step 5 (Maker). Aggregate: fund rate = $\Sigma (\text{position} \div \text{NAV}) \times \text{cost per position}$. Repeat for a grid of flow levels to build the continuous schedule.

Step 6 (Maker). Compare the computed rate against the fund's materiality threshold (basis points of price movement, set per fund by the Committee). Recommend apply or do not apply.

Step 7 (Checker, 10:30–11:15). The Head of Liquidity Risk independently reperforms or re-derives the calculation from the same source data, confirms the parameter version used matches the current Model Parameter Schedule, and either signs off or rejects the maker's recommendation. A rejection returns to Step 1 with the reason recorded.

Step 8 (Third check, 11:15–11:45). Fund Accounting independently verifies the signed-off rate is correctly reflected in the NAV calculation input file before release.

Step 9 (By 17:00). Decision record filed: flows, computed rate, threshold, applied or not, reason if not applied, maker/checker/Fund Accounting identities and timestamps, and confirmation the redeeming/remaining conflict (Policy §6.2.2) was considered.

WORKED EXAMPLE

Net redemption £20m (4.0% of NAV), no netting available. Sample of the calculation (full 15-line table in the Methodology paper, Section 7):

Position	4% slice	Slice ÷ capacity	LQA cost output	+ Explicit	Line cost
High yield corporate	£1.20m	0.80×	109.2 bp	—	109.2 bp
UK AIM holding	£0.32m	2.00×	173.1 bp	2 bp comm.	175.1 bp
UK large cap	£1.40m	0.16×	7.9 bp	2 bp comm.	9.9 bp
Cash	£1.80m	—	—	0.5 bp	0.5 bp

Fund rate: 24.6 bp (full aggregation, all 15 lines). Materiality threshold for this fund: 5 bp. **Maker recommendation: apply, at 24.6 bp on the redemption side.** Checker confirmed by independent re-derivation. Fund Accounting verified before the 12:00 valuation point. Decision record filed with the flow, the rate, the schedule version, and all three sign-off identities.

PRICING ERROR LINKAGE

If Step 7 or Step 8 identifies that an incorrect rate was applied at a *prior* valuation point, this is a pricing error under the Firm's Dealing Error (NAV Correction) Policy (Procedure, Section 7). The Liquidity Risk Analyst notifies the Head of Liquidity Risk and Fund Accounting immediately; the resulting NAV impact is assessed against the 0.5% (retail) / 0.25% (institutional) materiality thresholds; and the error is logged on the Risk Event Log regardless of materiality. This is a control failure to be root-caused, not merely a number to correct.

SOP 2 — Flow monitoring and cumulative redemption check

Control objective: detect a sustained pattern of redemptions that no single-day check would catch, before a liquidity buffer is exhausted. **Maker:** Liquidity Risk Analyst. **Checker:** Head of Liquidity Risk. **Frequency:** daily, complete by 09:00 the following business day.

Step 1 (Maker). Daily, independently of the transfer agent's report, reconcile gross and net flows per fund from the order management system.

Step 2 (Maker). Calculate cumulative net redemption over rolling 5, 10 and 20 dealing-day windows.

Step 3 (Maker). Compare each measure against the fund's daily and cumulative thresholds in the Limit Register. Breach of either is flagged for checker review same day.

Step 4 (Checker). Head of Liquidity Risk reviews flagged breaches and initiates escalation under Procedure, Section 6, within the stated SLA.

WORKED EXAMPLE

The fund sees redemptions of 0.5% of NAV a day for several consecutive dealing days. No single day breaches the daily threshold (2.5% of NAV) and no large-deal trigger fires. The **10-day rolling cumulative threshold (4.5% of NAV)** is breached on **day 9** — cumulative net redemption of £22.5m — while the daily-only check would have stayed silent throughout. At the observed run rate, the £45m cash line would not be exhausted until day 18 if funded entirely from cash; the cumulative test gives the desk a nine-day head start on a decision, which a daily-only check cannot.

SOP 3 – Monthly liquidity bucketing

Control objective: ensure every position is classified on a consistent, defensible, and current basis. **Maker:** Liquidity Risk Analyst. **Checker:** Head of Liquidity Risk. **Frequency:** within 5 business days of month-end, and on trigger.

Step 1 (Maker). For every position, pull `LQA_LIQUIDATION_HORIZON` with `LQA_TGT_LIQUIDATION_COST` = 25 bp, confidence 90, participation cap 20%.

Step 2 (Maker). Add the two inputs LQA does not supply: operational friction (settlement convention, restrictions, lock-ups, FX repatriation – from Operations) and valuation certainty (pricing source, staleness, fair value hierarchy level – from Valuations).

Step 3 (Maker). Classify: L0 same-day cash; L1 ≤1 day; L2 2–7 days; L3 8–30 days; L4 >30 days, no solution at the cost cap, or an operational/valuation override.

Step 4 (Maker). Re-run under the stressed parameter set (Methodology §9) and record bucket migration – how much of the fund moves down a bucket.

Step 5 (Checker). Head of Liquidity Risk reviews the classification, in particular any override applied under Step 2, and confirms against the fund's thresholds in the Limit Register; escalates any breach.

WORKED EXAMPLE

Bucket	Definition	% NAV	Positions
L0	Cash, same day	9.0%	Cash and near cash
L1	≤1 day	7.0%	US Treasury 2030
L2	2–7 days	59.0%	Both mega-caps, UK large cap, gilt, IG benchmark, developed ETF, HY bond ETF
L3	8–30 days	23.4%	UK mid cap, European small cap, IG small issue, HY corporate, EM sovereign
L4	>30 days	1.6%	UK AIM holding

Threshold check: minimum L0+L1 10% (actual 16.0%, pass); minimum L0–L2 60% (actual 75.0%, pass); maximum L4 3% (actual 1.6%, pass); maximum single-line days-to-liquidate 20 days (actual 50.0 days on the AIM line, **breach**). Fund-level aggregates pass; the single-name limit does not. Escalated per SOP 4.

SOP 4 – Threshold monitoring and breach escalation

Control objective: ensure every threshold breach is classified, owned, and actioned within a defined period; no breach is silently tolerated. **Maker:** Liquidity Risk Analyst. **Checker:** Head of Liquidity Risk. **Frequency:** after every SOP 3 and SOP 5 run.

Step 1 (Maker). After every bucketing run (SOP 3) and every stress test (SOP 5), check every threshold in the Limit Register: fund-level (L0+L1, L0–L2, maximum L4) and position-level (maximum days-to-liquidate for any single line).

Step 2 (Maker). Classify status: green (within threshold), amber (within 20% of the limit for three consecutive observations), red (breach).

Step 3 (Checker). Red status triggers same-day escalation to the Head of Liquidity Risk and inclusion on the next LRC agenda; amber status is tracked and reported at the next scheduled meeting. The Head of Liquidity Risk

assigns an owner and a target date, logged on the Risk Event Log.

WORKED EXAMPLE

The AIM line breach from SOP 3 is logged red on the position-level limit. Escalation record: breach identified [date]; escalated to Head of Liquidity Risk same day; LRC reviewed within 2 business days; action agreed — reduce the position by 30% over the following month, reviewed monthly until the line is back within the 20-day limit; owner: Portfolio Management; target: 31 October 2027.

SOP 5 — Quarterly stress testing (normal and stressed) and the redemption coverage ratio

Control objective: confirm every fund can meet plausible normal and stressed redemption and non-redemption demand within its stated horizons. **Maker:** Liquidity Risk Analyst. **Checker:** Head of Liquidity Risk, with CRO sign-off before Committee submission. **Frequency:** within 10 business days of quarter-end.

Step 1 (Maker). Compute capacity at 1, 5 and 20-day horizons under normal parameters (participation 20%) and stressed parameters (participation 10%, volume scalar $\times 0.6$).

Step 2 (Maker). Define the redemption assumption at each horizon: normal = historical 95th/99th percentile net outflow; stressed = worst observed or plausible correlated outflow, informed by Distribution's concentration data.

Step 3 (Maker). Redemption Coverage Ratio (RCR) at horizon h = capacity(h) $\div$ redemption assumption(h). Compute normal and stressed.

Step 4 (Maker). Where the fund runs derivatives or financing (SOP 7), add the net non-redemption cash demand to the denominator for the combined stressed RCR.

Step 5 (Checker). Head of Liquidity Risk reviews the scenario assumptions and the resulting ratios against the Limit Register; CRO signs off the pack before it goes to the LRC.

WORKED EXAMPLE

Horizon	Capacity, normal	Capacity, stressed	RCR normal	RCR stressed	Combined stressed RCR (incl. SOP 7)
1-day	£258.7m (51.7%)	£176.2m (35.2%)	25.9×	5.9×	—
5-day	£413.3m (82.7%)	£362.0m (72.4%)	10.3×	3.6×	3.2×
20-day	£492.2m (98.4%)	£468.9m (93.8%)	6.6×	2.7×	—

All ratios exceed the fund's minimum of 1.5×. Nonetheless the fall from 10.3× to 3.2× five-day, normal to combined-stressed, is reported as the headline trend line on the dashboard (Document 5), because a large fall quarter on quarter is itself an escalation trigger even where the absolute ratio remains comfortable.

SOP 6 — Reverse stress test (break point)

Control objective: identify the redemption level at which the fund can no longer meet its obligations, before it is discovered in practice. **Maker:** Liquidity Risk Analyst. **Checker:** Head of Liquidity Risk, with CRO sign-off. **Frequency:** quarterly, aligned with SOP 5.

Step 1 (Maker). Define failure in advance, at least two ways: (a) a liquidity profile breach — post-redemption capacity within the horizon falls below the fund's minimum LO–L2 threshold; (b) a fire-sale breach — any single line would require selling at more than 25% participation.

Step 2 (Maker). Solve (a) under the Firm's stated stress liquidation policy (a waterfall: cash, then L1, then L2), and solve (b) under the vertical slice (Methodology §6), because a waterfall does not expose single-name fire-sale risk.

Step 3 (Maker). Report both break points, with the tighter one as the binding constraint, alongside investor and distributor concentration data supplied by Distribution.

Step 4 (Checker). Head of Liquidity Risk independently re-derives the break points and confirms the concentration data is current; CRO reviews the finding and required action before Committee submission.

WORKED EXAMPLE

Waterfall policy, 60% LO–L2 floor: $(375 - R) \div (500 - R) \geq 0.60 \rightarrow R = \text{£187.5m (37.5\% of NAV)}$. Vertical-slice fire-sale test: the AIM line (1.6% of NAV, 50-day capacity) breaches 25% participation first, at $R = \text{£62.5m (12.5\% of NAV)}$.

Compared to the investor register: largest single investor 12.0% (below both break points); top three combined 27.0% (above the slicing break point, below the waterfall break point); **largest distributor 41.0% (above both)**. Finding: a single platform decision exceeds the fund's capacity to respond under either liquidation policy. Reported to the LRC with the recommended remediation — reduce the AIM line and set a position-level limit on days-to-liquidate, per SOP 4.

SOP 7 — Non-redemption pressure (margin and collateral)

Control objective: confirm the fund can meet stressed margin and collateral demand from its derivative and financing book without relying on asset sales at distressed prices. **Maker:** Liquidity Risk Analyst, with Treasury input. **Checker:** Head of Liquidity Risk. **Frequency:** monthly, and within each quarterly stress cycle.

Step 1 (Maker). For every fund using derivatives, securities financing or efficient portfolio management, identify the overlay: notional, DVO1/sensitivity, counterparties, and eligible collateral held and posted.

Step 2 (Maker). Model, at the stress horizon: variation margin from the rate/price shock; initial margin and haircut increases (procyclical add-ons); and the risk that a counterparty declines to roll a maturing financing arrangement — the channel most often omitted.

Step 3 (Maker). Sum the cash demand; compare against available eligible collateral net of any operating minimum; the shortfall, if any, is the number reported.

Step 4 (Checker). Head of Liquidity Risk reviews the shock assumptions with Treasury and confirms the collateral inventory is current before reporting to the LRC.

WORKED EXAMPLE — THE FUND'S OVERLAY

Five-day shock	Cash demand	Channel
Rates +100 bp against the swap position	£40.5m	Variation margin
CCP raises initial margin 40%	£10.8m	Procyclical IM
GBP moves 6% against the forwards	£4.8m	Variation margin
Gilt repo haircut 2% → 6%	£4.8m	Haircut widening
One counterparty declines to roll £40m	£40.0m	Often omitted
Total demand	£100.9m	20.2% of NAV
Available (cash less £20m minimum, plus gilt at stressed haircut)	£86.1m	—
Shortfall	£14.8m	Before any redemption

SOP 8 — Annual retrospective assessment

Control objective: demonstrate, with quantified evidence, whether anti-dilution decisions over the year resulted in fair treatment of all unitholders, as required by COLL 6.3.8BR. **Maker:** Head of Liquidity Risk. **Checker:** CRO. **Approval:** LRC, then Board. **Frequency:** annual, within 60 calendar days of year-end.

Step 1 (Maker). Extract every valuation-point decision record for the year (SOP 1, Step 9): applied and not applied.

Step 2 (Maker). Cost recovery ratio: for applied days, amount charged ÷ modelled cost of the executed trades. Report the distribution, not just the mean.

Step 3 (Maker). Non-application total: for every non-applied day, the dilution that occurred anyway (net flow × computed rate). Sum for the year.

Step 4 (Maker). Threshold sensitivity: re-run the year at 0.5× and 2× the materiality threshold used.

Step 5 (Maker). Compile findings, actions, owners and dates; submit to the CRO for review.

Step 6 (Checker). CRO reviews and either approves for LRC submission or returns for further work; LRC approves before Board reporting, per Policy §11.3.

WORKED EXAMPLE (ILLUSTRATIVE FIRST-YEAR OUTPUT)

Result	Action
Median cost recovery ratio 0.81	19% systematic under-recovery on applied days; recalibrate impact coefficients for high yield and EM (see Methodology, Section 13, T1 Amber).
Non-application total £0.62m, 12.4 bp of average NAV	Threshold sensitivity shows £0.40m would have been captured at half the threshold; reduce threshold, subject to modelling the cost to transacting investors.
Maximum rate applied 34 bp against a 50 bp prospectus cap	Comfortable in the year observed; stressed calibration is 61.5 bp — flag to the prospectus review workstream regardless.

Schedule — field reference

Field	ID	Use in this procedure
LQA_LIQUIDATION_COST	PY251	SOP 1 — implicit cost input to the swing factor.
LQA_LIQUIDATION_HORIZON	PY254	SOP 3 — days to liquidate at a stated cost cap, used for bucketing.
LQA_LIQUIDATION_VOLUME	PY248	SOP 5, 6 — capacity at a cost and time budget, used for RCR and the reverse stress test.
LQA_EXPECTED_DAILY_VOLUME	PY229	SOP 3 — denominator for one-day capacity.
LQA_TGT_COST_CONF_LEVEL	PY328	All SOPs — confidence level; 50 normal, 90 stressed, fixed by the Committee.
LQA_TGT_PARTICIPATION_RATE	PY326	All SOPs — participation cap; 20% normal, 10% stressed.

Schedule — record retention

Record	Frequency	Retention	Sign-off retained
Anti-dilution decision record (SOP 1)	Every valuation point	6 years	Maker, checker, Fund Accounting
Flow monitoring log (SOP 2)	Daily	6 years	Maker, checker
Bucketing output and overrides (SOP 3)	Monthly	6 years	Maker, checker
Threshold breach log (SOP 4)	On occurrence	6 years	Checker, owner, target date
Stress and reverse stress results (SOP 5, 6)	Quarterly	6 years	Maker, checker, CRO
Non-redemption pressure assessment (SOP 7)	Monthly / quarterly	6 years	Maker, checker
Retrospective assessment (SOP 8)	Annual	6 years	Maker (Head of Liquidity Risk), CRO, LRC, Board

Issued under the authority of the Fund Liquidity Risk Policy and Procedure. All worked figures use the Firm's illustrative Multi-Asset Income Fund and are internally consistent; they are not live parameters.